

Regulatory Guidance Summary – FATF, RBI KYC and PMLA

Document ID: TL-REG-GUI-002 | Version 2.0 | Prepared by: Compliance Advisory | Date: 15-March-2026

Classification: Internal. SYNTHETIC SUMMARY CREATED FOR A HACKATHON DEMO. Paraphrased for training purposes; always refer to the original regulatory texts.

1. FATF Recommendations – Key Points

1.1 Risk-Based Approach (Recommendation 1). Institutions must identify, assess and understand their ML/TF risks and apply measures proportionate to those risks: enhanced measures where risk is higher, simplified measures only where risk is demonstrably lower.

1.2 Customer Due Diligence (Recommendation 10). Identify and verify the customer and beneficial owner, understand the purpose and intended nature of the relationship, and conduct ongoing due diligence, scrutinising transactions to ensure they are consistent with the customer's profile and source of funds.

1.3 Politically Exposed Persons (Recommendation 12). For foreign PEPs, and for domestic PEPs that present higher risk, obtain senior management approval, establish source of wealth and source of funds, and conduct enhanced ongoing monitoring.

1.4 Wire Transfers (Recommendation 16). Originator and beneficiary information must accompany cross-border wire transfers. Missing or incomplete information is a red flag.

1.5 Higher-Risk Countries (Recommendation 19). Apply enhanced due diligence, proportionate to the risks, to business relationships and transactions with natural and legal persons from countries for which this is called for by the FATF. Jurisdictions subject to a "Call for Action" require counter-measures.

1.6 Reporting of Suspicious Transactions (Recommendation 20). If an institution suspects or has reasonable grounds to suspect that funds are the proceeds of crime or related to terrorist financing, it must promptly report its suspicions to the Financial Intelligence Unit.

1.7 Tipping-off and Confidentiality (Recommendation 21). Directors, officers and employees must be prohibited from disclosing that an STR or related information is being filed with the FIU.

1.8 Targeted Financial Sanctions (Recommendations 6 and 7). Freeze without delay the funds of designated persons and entities, and ensure no funds are made available to them.

2. Common Money Laundering Typologies

2.1 Placement: introducing illicit cash into the financial system, often through structuring (smurfing) cash deposits below reporting thresholds across multiple branches or days.

2.2 Layering: moving funds through multiple accounts, jurisdictions and instruments to obscure their origin. Indicators include rapid pass-through of funds, circular transfers between related accounts, round-tripping via offshore jurisdictions and trade-based money laundering using over- or under-invoicing.

2.3 Integration: returning laundered funds to the legitimate economy, for example as apparent foreign investment, loans, or property purchases.

2.4 Money mules: individuals, frequently students, homemakers or low-income persons, who allow their accounts to be used to receive and forward funds, often for a commission. Typical signs are sudden high-velocity activity, many unrelated counterparties, and credits far above declared income.

2.5 Fan-in / fan-out patterns: many small payments collected into one hub account (fan-in) and then sent onward in bulk, frequently cross-border; or one account distributing to many (fan-out). These are common in online fraud, illegal lending and betting proceeds.

2.6 Dormant account abuse: inactive accounts, sometimes purchased or taken over, are reactivated to receive and move illicit funds before the bank's controls respond.

3. RBI Master Direction on KYC – Key Points

3.1 Banks must have a Board-approved KYC policy covering customer acceptance, risk management, customer identification procedures and monitoring of transactions.

3.2 Customers must be categorised as low, medium or high risk. Periodic updation of KYC is required at least once every two years for high risk, once every eight years for medium risk and once every ten years for low risk customers.

3.3 Banks must monitor transactions with a focus on complex or unusually large transactions, transactions inconsistent with the customer's profile, and high account turnover inconsistent with the balance maintained.

3.4 Accounts of PEPs require senior management approval, reasonable measures to establish source of funds and wealth, and enhanced ongoing monitoring.

3.5 Accounts that show no customer-induced transaction for a long period should be treated as inactive or dormant, and their reactivation should be subject to due diligence.

4. PMLA and the PML Rules – Reporting Obligations

4.1 Cash Transaction Reports: all cash transactions of more than INR 10 lakh, or their equivalent in foreign currency, and all series of integrally connected cash transactions below that value which together exceed INR 10 lakh within a month, are reportable by the 15th of the succeeding month.

4.2 Suspicious Transaction Reports: to be furnished to FIU-IND not later than seven working days on being satisfied that the transaction is suspicious. There is no monetary threshold and attempted transactions are included.

4.3 Cross-Border Wire Transfer Reports: cross-border wire transfers above the prescribed value, where either the origin or destination of funds is in India, are reportable.

4.4 Counterfeit Currency Reports and Non-Profit Organisation Transaction Reports are separate reporting streams.

4.5 Records of transactions and of identity must be maintained for at least five years.

5. What Examiners Expect from an Investigation

5.1 Documented reasoning that links each alert to evidence and to the institution's policy.

5.2 Consistency: similar facts should lead to similar dispositions; closures must be justified as carefully as escalations.

5.3 Timeliness: alert ageing must be monitored, and STRs must meet the statutory timeline.

5.4 Explainability: where automated tools or models generate alerts or summaries, the institution must be able to explain why an alert fired and how a conclusion was reached, and a human must remain accountable for the decision.

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